The *Grundrisse* (The 1857-58 Manuscript)

The Chapter on Capital: Part 21

The General Rate of Profit (pp. 434-436)

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Marx revisits one of the iterations of the previous numerical example.

A capitalist produces cotton twist (yarn), producing 40 lb in total. The "real value" of the twist is 5 thalers a pound, a quantity which we can break down into $4\frac{1}{2}$ thalers production cost (materials, instrument, wages, etc.) and $\frac{1}{2}$ profit, which gives a rate of profit of $\frac{1/2}{4 1/2} = 11\frac{1}{9}\%$.

Suppose, says Marx, the capitalist sells the twist at a 10% profit, i.e. at $4\frac{1}{2} + \frac{9}{20} = 4\frac{19}{20}$ thalers a pound, such that the full 40 lb sells for 198 thalers. The capitalist here sells the twist *below* its real value.

Suppose, in addition, that the capitalist (who we will call capitalist A) sells the twist to another, who we will call capitalist B. Capitalist B owns a silver mine, and pays A directly in silver. (We suppose that the component parts of the "outlay" (materials, instrument, wages, etc.) are the same proportionally for both capitalists.)

Capitalist B receives 200 lbs of twist, of a value of 200 thalers. Capitalist A receives 198 thalers in silver. Given the equal proportional composition of silver to twist, the 198 thalers of silver will consist of $4\frac{1}{2}$ parts materials, instrument, wages, etc. and $\frac{1}{2}$ part surplus. The materials, instrument, wages, etc. component of the 198 thalers of silver will be equal to $198 \times \frac{4 1/2}{5} = 178\frac{1}{5}$ thalers. If 200 thalers worth of twist are received in return for the 198 thalers of silver, then the profit for the silver producer (in the natural form of twist) will be equal to $200 - 178\frac{1}{5} = 21\frac{4}{5}$ thalers; the rate of profit on the silver producer's transaction will be $\frac{21 4/5}{178 1/5} \approx 12\frac{2}{9}\%$.

Let now the silver producer sell her product at 10% profit. She pays 200 thalers in silver. At a proportion of advanced capital : profit of $4\frac{1}{2} : \frac{1}{2}$ the production cost of 200 thalers silver is equal to $200 \times \frac{4 1/2}{5} = 180$ thalers; 10% of 180 is 18 thalers; the sale price of silver with a production cost of 180 thalers sold at 10% profit is therefore 180 + 18 = 198 thalers, or $\frac{198}{5} = 39\frac{3}{5}$ lb of twist. Capitalist B therefore receives 200 thalers for only $39\frac{3}{5}$ lb of twist. The production cost of $39\frac{3}{5}$ lb of twist, assuming a capital advanced : profit ratio of $4\frac{1}{2} : \frac{1}{2}$ is equal to $198 \times \frac{4 1/2}{5}$ = $178\frac{1}{5}$

thalers. The profit on the exchange for capitalist A is therefore $200 - 178\frac{1}{5} = 21\frac{4}{5}$ thalers, a rate of profit of $\frac{21\,4/5}{178\,1/5} \approx 12\frac{2}{9}\%$, exactly the same rate of profit as that of B when A sold at 10%.

Marx's immediate point here is that in the exchange between two capitals then if one sells below value then the other *must* buy above value—the loss of one is the gain of the other—and, further, if both capitals are *of the same composition* then it is impossible if one sells either above or below value for both to experience the same rate of profit. In other words, under these conditions (of equality of composition) the only condition under which both capitals will realise the same rate of profit is when they both exchange at value.

Marx's *general* point is broader than this, though, for here what he is really dealing with is what he calls the "general rate of profit" (*die allgemeine Rate des Profits*): the *equalised* rate of profit that all capitals that enter into the equalisation process will tend to realise; equal to the *average* of these different rates of profits.[1] His specific point here is the following: while the rate of profit in this or that sector of production might fall because capitalists are forced by circumstances to sell their product below value, the *general* rate of profit cannot fall in this way. Rather, the general rate can fall "only if the proportion of surplus labour to necessary labour falls *relatively*".[2]

Marx focuses his attention on the formation of the general rate of profit. "A general rate of profit is possible only because the rate of profit is too high in one branch of business and too low in another." (Marx 1973, p. 435; translation modified according to Marx 2006, p. 346) The formation of the general rate of profit itself is a result of the fact that a "part of the surplus value—which corresponds to surplus labour—is transferred from one capitalist to the other."

Take five capitals, with five different rates of profit:

A: 15%

B: 12%

C: 10%

D: 8%

E: 5%

The average rate here is 10%.[3] For the *general* rate to exist (for the *average* rate "to exist in reality"), there has to be a transfer of surplus labour from capitals A and B and to D and E. Marx notes that it is impossible for the percentage rates of profit on capitals of different compositions ("relations of surplus labour") to be the same (assuming, of course, sale at value). To the extent that there *is* a general rate of profit, "[t]he capitalist class [...] distributes the total surplus value

[1] "General rate of profit" (or "general rate of profits") is a phrase that occurs repeatedly throughout Ricardo's *Principles*.

[2] Marx goes on: "this [i.e. the fall of necessary labour to surplus labour] [...] takes place if the proportion is already very large, or, expressed differently, if the proportion of living labour set into motion by capital is very small—if the part of capital which exchanges for living labour is very small compared to that which exchanges for machinery and raw material. The general rate of profit can fall in that case, even though absolute surplus labour rises." In other words, what Marx is saying here is that that the rate of profit falls is not simply due to the ratio of necessary labour to surplus labour but also to the proportion between that part of capital which exchanges for living labour (wages) and that which assumes the form of materials, instrument, etc.

[3] This supposes, though Marx does not say so, that the five capitals are of the same size.

so that, to a certain degree, it [shares in it] evenly in accordance with the size of its capital, instead of in accordance with the surplus values actually created by the capitals in the various branches of business." (Marx 1973, pp. 435-6, square bracketed interpolation in original)

How does this happen? How is the surplus so distributed?

> The larger profit—arising from the real surplus labour within a branch of production, the really created surplus value—is pushed down to the average level by competition, and the deficit of surplus value in the other branch of business raised up to the average level by withdrawal of capitals from it, i.e. a favourable relation of demand and supply. This is realised by means of the relation of prices in the different branches of business, which fall *below* the *value* in some, rise *above* it in others. This makes it seem as if an equal sum of capital in unequal branches of business created *equal surplus labour or surplus value*. (Marx 1973, p. 436)

References

Marx, Karl. 1973. *Grundrisse: Foundations of the Critique of Political Economy (Rough Draft)*. Translated by Martin Nicolaus. London: Pelican Books.

Marx, Karl. 2006. "Karl Marx. Ökonomische Manuskripte 1857/58." Pp. 1-747 in *Marx-Engels-Gesamtausgabe*, Abteilung II, Bd. 1. Berlin: Akademie Verlag.